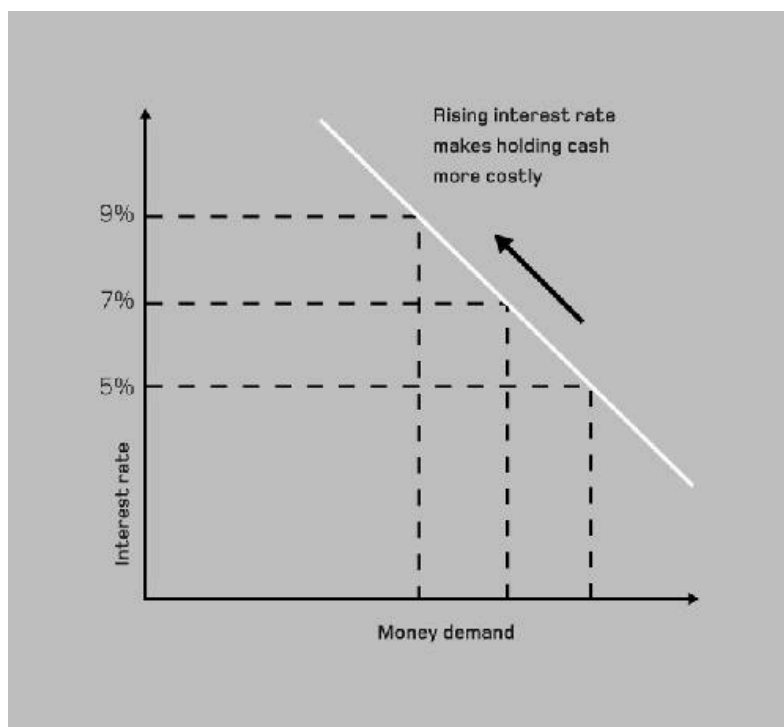


The demand for money



People can hold their wealth in various forms such as money, shares, property and other assets. Just as we talk of the demand for apples or houses, we can also consider the demand for money. People choose to hold their wealth as money – to demand it – for several reasons. They need money to carry out transactions, to buy food and pay bills, but uncertainty about the future also causes people to hold money to cover unforeseen expenses. The more transactions that need to be carried out, the more money people will demand. So as economies grow, the demand for money tends to increase.

Money – in particular cash – does not pay interest so by holding onto it one forgoes the potential returns from financial assets such as bonds. When the interest rates on offer are higher, one gives up more by holding money, so the demand for money tends to fall as interest rates rise. Inflation in prices also

decreases the demand for money, because its purchasing power is reduced.